UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	) Docket No. RM26-4-000)

RESPONSIVE COMMENTS OF MAVEN SOLUTIONS REGARDING THE SUPPLEMENTAL COMMENTS OF FIRSTENERGY SERVICE COMPANY

INTRODUCTION

Maven Solutions submits these responsive comments regarding the Supplemental Comments filed by FirstEnergy Service Company on June 5, 2026, proposing that the Commission adopt a natural-gas-pipeline-style "expansion rate" for electric transmission upgrades driven by hyperscale data center interconnection.[1] Maven Solutions previously submitted a community-development scoring framework into this docket[2] and has filed responsive comments to the supplemental comments of Constellation Energy Generation, LLC.[3]

These comments address what FirstEnergy's filing actually proposes beneath its ratepayer-protection framing: a FERC-approved, collateral-backed transmission-revenue product that guarantees cost recovery for incumbent transmission owners while converting a legitimate cost-causation principle into a wholesale regulatory transplant from the natural-gas pipeline industry—without modeling the physics, accounting for the beneficiaries, or acknowledging the communities that will host the infrastructure.

FirstEnergy's core concern is legitimate: captive ratepayers should not unknowingly subsidize private hyperscale infrastructure. Maven Solutions has argued the same point throughout this docket. But legitimacy of concern does not validate the proposed mechanism. The natural-gas analogy is directionally useful and structurally false. The framework protects transmission owners at least as much as it protects ratepayers. And the filing renders invisible the communities who bear the siting burden—the same design failure Maven Solutions identified in Constellation's LCEP proposal.

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[1]Supplemental Comments of FirstEnergy Service Company, Docket No. RM26-4-000 (June 5, 2026), attaching A Proven Federal Framework for a New American Problem: Adapting the Natural Gas Expansion Rate to Data Center Transmission Costs (May 2026) ("FirstEnergy Whitepaper").

[2]Maven Solutions, Community-Development Scoring Framework, Docket No. RM26-4-000, Submission ID 1755084 (May 20, 2026).

[3]Maven Solutions, Responsive Comments Regarding the Supplemental Comments of Constellation Energy Generation, LLC, Docket No. RM26-4-000 (June 6, 2026).

I. THE NATURAL GAS ANALOGY IS DIRECTIONALLY USEFUL AND STRUCTURALLY FALSE

A. Gas Pipelines and Electric Transmission Are Not "Structurally Identical"

The centerpiece of FirstEnergy's whitepaper is a single sentence: "The electric transmission cost-shift now emerging across the United States is structurally identical to a problem the natural gas industry confronted three decades ago—and one FERC already solved."[4] That sentence is the filing's load-bearing beam, and it should be tested to failure.

Natural-gas pipeline expansions can often be tied to specific shippers and firm transportation agreements under a contract-path model. Capacity can be reserved, resold, and measured in discrete units. Electric transmission is a meshed alternating-current network in which power flows simultaneously over all transmission paths according to electrical characteristics—not according to contractual designations.[5] A transmission facility built to interconnect a data center may simultaneously improve regional reliability, reduce congestion, increase transfer capability, support future load service, and enable generation deliverability for parties who had no part in the interconnection request.

The Commission's 1999 natural-gas policy statement is real, and its cost-causation principles are sound. But the policy was explicitly case-specific. The Commission stated that it intended to evaluate proposals based on the facts and circumstances of each application and recognized circumstances where rolled-in treatment remains appropriate—including when existing customers benefit from the expansion or when prior system investments made the expansion feasible.[6] FirstEnergy compresses that nuance into "FERC solved this." That is advocacy, not precedent.

The cycle by which open-access infrastructure is captured and converted into private toll collection by incumbent operators is well documented.[7] FirstEnergy's proposal follows this pattern: take a meshed, shared, publicly regulated transmission network and overlay a contractual structure that converts the first data-center customer into a private cost-bearer for facilities that may serve the entire region for decades. The Commission should

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[4] FirstEnergy Whitepaper at 2 ("The electric transmission cost-shift now emerging across the United States is structurally identical to a problem the natural gas industry confronted three decades ago—and one FERC already solved.").

[5] See NERC, Electricity 101, https://www.nerc.com/AboutNERC/Documents/Electricity101.pdf ("electricity flows simultaneously over all transmission lines in an interconnected grid according to electrical characteristics"); PJM Interconnection, LMP Market Training Materials (2024–2025).

[6] Certification of New Interstate Natural Gas Pipeline Facilities, 88 FERC ¶ 61,227 at 61,745–47 (1999) (stating the Commission "intended to evaluate proposals based on the facts and circumstances of each application" and recognizing circumstances where rolled-in treatment may be appropriate).

[7] See Tim Wu, The Master Switch: The Rise and Fall of Information Empires (2010).

not import a contract-path pricing model from a commodity-pipeline industry and apply it to a physics-governed, reliability-critical AC network without acknowledging the structural differences between the two systems.

B. The Transmission Owner Becomes the Gatekeeper

In its Constellation LCEP filing, Maven Solutions identified how Constellation's proposed interconnection pathway would convert incumbent control of existing generation Points of Interconnection into a monopoly chokepoint. FirstEnergy's filing constructs a different gate at a different point in the supply chain, but the structural dynamic is the same: incumbent infrastructure owners converting legacy position into a FERC-approved revenue extraction mechanism.[8]

Under FirstEnergy's proposal, a hyperscale data center seeking transmission-voltage interconnection would enter into a long-term agreement with the host transmission owner.[9] FirstEnergy's subsidiaries operate approximately 24,000 miles of transmission lines connecting the Midwest and Mid-Atlantic regions.[10] The data center's alternative to the host transmission owner's terms is not a competitive market—it is a different transmission owner's territory, with the same monopoly structure. The proposal does not eliminate the bottleneck. It monetizes it.

When a dominant firm controls bottleneck infrastructure and uses that position to set terms for the parties who must pass through it, the result is not market competition but the exercise of market power.[11] FirstEnergy's framework guarantees the transmission owner's cost recovery, collateralizes the transmission owner's investment, and shifts all demand-forecast, utilization, and cancellation risk from the utility to the customer. The filing presents this as consumer protection. It is also a credit-enhanced transmission-investment product.

II. COST CAUSATION IS A PRINCIPLE, NOT A LABEL

FirstEnergy deploys "cost causation" as though it were self-executing: the data center caused the upgrade, therefore the data center pays. But cost causation in electric transmission has never operated as a bumper sticker. The Commission and reviewing

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[8]See Assistant Attorney General Jonathan Kanter, Remarks at Keystone Conference on Antitrust, Regulation & the Political Economy (Nov. 2023).

[9]FirstEnergy Whitepaper at 5 ("The agreement would obligate the data center customer to pay two distinct rate components.").

[10]FirstEnergy Corp., 10-K Annual Report (2025); FirstEnergy Corp., Transmission Operations Overview, https://www.firstenergycorp.com/about/transmission.html.

[11]See Lina M. Khan, The Separation of Platforms and Commerce, 119 Colum. L. Rev. 973 (2019); FTC, Policy Statement on Unfair Methods of Competition (2022).

courts have long required that cost allocation be "at least roughly commensurate with estimated benefits"—not simply assigned to whichever customer was the but-for trigger.[12]

Order No. 1920 continues this architecture, incorporating long-term regional planning, multiple planning scenarios, state involvement, and measurable benefit assessment across broader sets of beneficiaries.[13] A transmission upgrade may be *triggered* by a data-center interconnection request but may *benefit* the regional grid, neighboring load-serving entities, generators seeking deliverability, future industrial customers, and reliability planners. Under FirstEnergy's proposal, the first mover bears the full cost. Under cost-causation principles properly applied, the first mover bears the cost commensurate with its share of the benefit—and later beneficiaries share the remainder.

The case law FirstEnergy cites reinforces the point. In *Antero Resources Corp. v. FERC*, the D.C. Circuit rejected a rate design that perpetually charged one customer the highest marginal fuel rate even when that departed from actual cost causation.[14] That holding is a warning: an expansion rate must track actual caused costs, must be periodically trued up, and cannot become a permanent surcharge disconnected from the cost the customer actually imposes. "Triggered by a data center" is not the same as "benefits only a data center." FirstEnergy wants the causation label without doing the beneficiary math.

III. THE "AND PRICING" PROBLEM REMAINS UNRESOLVED

FirstEnergy acknowledges that its most dangerous legal vulnerability is "and pricing"—the Commission's longstanding prohibition against billing the same customer twice for the same transmission capacity.[15] The whitepaper argues the prohibition does not apply because the zonal rate covers existing infrastructure while the expansion rate covers only new facilities.[16]

That distinction can hold in theory. It is far more difficult to maintain on a meshed AC network. The same new facility—a substation, a high-voltage line, a network reinforcement—may be used by the data center, by neighboring loads, by future industrial customers, by generators needing deliverability, by regional transfer flows, and by reliability planners. If the data center pays the full expansion rate for a facility that

[12] Illinois Commerce Comm'n v. FERC, 576 F.3d 470, 477 (7th Cir. 2009) (Posner, J.) ("[costs must be] at least roughly commensurate with estimated benefits").

[13] FERC Order No. 1920, Building for the Future Through Electric Regional Transmission Planning and Cost Allocation, 187 FERC ¶ 61,068 (May 13, 2024); Order No. 1920-A (2025).

[14] Antero Resources Corp. v. FERC, 156 F.4th 654 (D.C. Cir. 2025).

[15] Midwest Indep. Transmission Sys. Operator, Inc., 85 FERC ¶ 61,372 at 62,421 (1998); Pennsylvania Elec. Co. ("Penelec"), 58 FERC ¶ 61,278 (1992), aff'd sub nom. Pennsylvania Elec. Co. v. FERC, 11 F.3d 207 (D.C. Cir. 1993).

[16] FirstEnergy Whitepaper at 5.

subsequently serves the broader system, the data center is paying for capacity that others consume. That is a subsidy—except now it flows in the wrong direction.

FirstEnergy gestures at annual reallocation if additional customers interconnect to the same facilities. That acknowledgment is a tell: the filing's own authors know the expansion facilities cannot be presumed private forever. But the reallocation mechanism is left entirely unspecified. How frequently does reallocation occur? Who initiates it? What methodology determines the benefit share? What prevents the transmission owner from classifying facilities as "expansion" rather than "system" to preserve higher cost recovery? The Commission cannot approve a framework that announces reallocation as a concept without specifying it as a mechanism.

IV. THE RATEPAYER PROTECTION PLEDGE IS A POLITICAL SIGNAL, NOT A TARIFF FOUNDATION

FirstEnergy places significant weight on the White House Ratepayer Protection Pledge, under which Amazon, Google, Meta, Microsoft, OpenAI, Oracle, and xAI publicly committed to bear the costs of power-delivery infrastructure required to support their facilities.[17] The pledge is a meaningful political signal. It is not a FERC tariff, a statutory cost-allocation rule, or a record-specific determination that any particular transmission upgrade was caused solely by any particular hyperscaler.

The pledge binds its named signatories politically—not every data-center developer, cloud reseller, colocation operator, cryptocurrency miner, defense contractor, or manufacturing load that may seek large-load interconnection. FirstEnergy's framework would apply to all hyperscale customers, not merely the pledge signatories. The filing asks the Commission to convert a voluntary political commitment made by seven companies into a mandatory cost-recovery mechanism applied to an entire class of customers. Political pledges and filed-rate obligations are different instruments. The Commission should not confuse a White House press event with the evidentiary record required to support a just-and-reasonable rate under FPA §§ 205–206.[18]

V. FIRSTENERGY'S INCENTIVE STRUCTURE IS NOT DISCLOSED

FirstEnergy presents itself as solving a public-interest problem. It is also solving a FirstEnergy problem.

In 2026, American Municipal Power and ratepayer advocates in Maryland and Ohio challenged proposed rates for a roughly $1.1 billion AEP-FirstEnergy-related transmission project, with the Ohio Consumers' Counsel arguing that approximately 60

[17] "Ratepayer Protection Pledge," The White House (Mar. 4, 2026).

[18] 16 U.S.C. §§ 824d–e.

percent of the cost would be paid by Ohio ratepayers even though the project was driven by data-center development.[19] FirstEnergy's expansion-rate proposal is, in part, a direct response to that litigation. The filing says: do not block the project—fix the rate design.

The whitepaper confirms the incentive. It states that "utilities and transmission owners are currently caught between the economic-development imperative to accommodate large new loads and the obligation to shield existing customers from resulting rate impacts" and that "an expansion-rate framework resolves that tension by providing a clear, FERC-approved path to cost recovery while protecting the existing customer base."[20] That is the money sentence. The Commission should evaluate this proposal as what it is—an interested-party filing from a transmission owner seeking a secured, collateral-backed cost-recovery mechanism—not as neutral analysis of rate-design principles.

VI. THE FILING PRICES THE STEEL BUT DOES NOT MODEL THE MACHINE

For a filing that proposes to restructure transmission cost recovery for the fastest-growing category of electric load in the United States, FirstEnergy's whitepaper contains no technical modeling. No power-flow sensitivity analysis. No benefit-allocation methodology. No load-factor scenarios. No congestion effects. No dynamic-load behavioral data.

That omission matters because large computational loads are not ordinary passive loads. On July 10, 2024, a 230 kV fault caused approximately 1,500 MW of voltage-sensitive computational load to drop simultaneously. Operators did not anticipate the magnitude of loss. Approximately 1,260 MW did not return to service for hours.[21] NERC's March 2026 Gap Assessment concluded that existing reliability standards are inadequate for computational-load interconnection.[22] One month before FirstEnergy's filing, NERC issued a Level 3 Essential Action Alert—its highest-urgency classification—identifying seven essential actions and stating that entities lack sufficient processes for computational-load risks.[23]

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[19] Utility Dive, "Ratepayer Advocates Challenge $1.1B AEP-FirstEnergy Transmission Project Costs" (Mar. 2026); Ohio Capital Journal, "Ohio Ratepayers Face 60% Cost Share for Data-Center Transmission" (2026).

[20] FirstEnergy Whitepaper at 6–7.

[21] NERC, Incident Review: Integration of Large Loads that are Sensitive to Voltage Disturbances into the Bulk Electric System at 1–3 (Jan. 8, 2025) ("NERC Incident Review").

[22] NERC Large Loads Working Group, Assessment of Gaps in Existing Practices, Requirements, and Reliability Standards for Emerging Large Loads (March 2026) ("NERC Gap Assessment").

[23] NERC, Level 3 Essential Action Alert: Computational Load Modeling, Studies, Instrumentation, Commissioning, Operations, Protection, and Control (May 4, 2026) ("NERC Level 3 Alert").

A rate-design framework that assigns capital costs without addressing dynamic-load performance creates a dangerous half-solution. Data-center cost responsibility and data-center grid behavior are linked. A tariff that prices the steel but does not model the machine connected to it—that specifies who pays for the substation but not what the load does when a 230 kV fault propagates through the network—is incomplete. The Commission should not adopt any cost-allocation framework for large computational loads without requiring the applicant to satisfy NERC's emerging reliability obligations as a condition of receiving transmission service.[24]

VII. THE COMMUNITIES WHO BEAR THE BURDEN ARE ABSENT FROM THE PROPOSAL

FirstEnergy speaks for "American households" as ratepayers. It does not speak for communities as hosts. The distinction matters.

Ratepayers pay electric bills. Communities live next to the substations, breathe the air near backup generators, drink the water drawn by cooling systems, send their children to schools near construction corridors, and pay local taxes that may or may not be offset by data-center tax abatements. A rate-design framework that assigns capital costs but says nothing about community hosting burdens is half a framework.

Maven Solutions' research documents the national scale of community opposition to data-center development: 268 local groups across 37 states, representing over 360,000 members, coordinated through organizations including the Coalition for Responsible Data Center Development.[25] That opposition did not form because interconnection was too slow or because rate design was unclear. It formed because communities were not included, not informed, and not protected. A framework that assigns transmission costs while ignoring the communities standing next to the transmission facilities will not resolve that opposition. It will deepen it.

FirstEnergy's whitepaper claims the framework "works for everyone."[26] It does not model how much households would save, whether projects would relocate, whether smaller loads would be chilled, how mixed-benefit upgrades would be allocated, or whether utilities would overbuild because their cost recovery is secured. It does not ask whether communities receive tax revenue, jobs, resilience benefits, or merely transmission lines

[24] See NERC FAC-002-4; NERC TPL-001-5.1; NERC MOD-032-1.

[25] Maven Solutions, Polar-Grade Comprehensive Brief v12, Submission ID 1755084, Docket No. RM26-4-000 (May 20, 2026), at 15–18 (documenting 268 community opposition groups across 37 states representing 360,000+ members).

[26] FirstEnergy Whitepaper at 7.

and higher construction traffic. “Works for everyone” is a closing argument, not an analysis.

VIII. STRUCTURAL CONDITIONS FOR ANY LARGE-LOAD TRANSMISSION COST-ALLOCATION FRAMEWORK

If the Commission adopts an expansion-rate or comparable cost-causation framework for large-load transmission interconnection, the following structural conditions are necessary to prevent the creation of a new gatekeeper, protect reliability, ensure just cost allocation, and restore community accountability:[27]

1. Upgrade Classification: Each transmission upgrade must be classified as customer-specific, local-reliability, regional-reliability, economic, public-policy, or mixed-benefit. Only purely customer-specific upgrades may be directly assigned without a benefit study.

2. Benefit Study Requirement: Before direct assignment, the transmission provider must conduct and publicly file a benefit study assessing congestion relief, reliability improvement, transfer capability, generation deliverability, resilience value, future-load-service capacity, and avoided-cost benefits.

3. Automatic Reallocation and First-Mover Credits: If subsequent customers or the broader grid benefit from facilities initially assigned to a large-load customer, the first mover must receive automatic, annual, transparent, and enforceable cost reductions.

4. Anti-Overbuild Safeguards: Where the utility’s cost recovery is secured by collateral and long-term agreements, the incentive to oversize facilities must be checked by independent engineering review.

5. Asset-Life-Based Depreciation: The Commission should require justification for any depreciation schedule shorter than the engineering useful life of the facility. A fifteen-year recovery period for a forty-year transmission asset must be supported by evidence, not assumed from gas-industry precedent.

6. Scaled Collateral Standards: Collateral requirements must be proportional to risk, not designed to exclude smaller competitors. A framework that only trillion-dollar hyperscalers can satisfy entrenches the largest firms while pricing out smaller developers, manufacturers, and emerging industries.

7. State Coordination: Rate design for large-load transmission interconnection implicates state retail rates, state economic-development policies, and state-commission

[27] XO Energy Ma, LP v. FERC, 77 F.4th 710, 716 (D.C. Cir. 2023).

jurisdiction. The Commission should coordinate with state regulators rather than impose a unilateral federal framework.

8. Reliability Obligations: Large loads must satisfy NERC's emerging computational-load framework—including modeling data, dynamic-load simulations, telemetry, ride-through capability, and operational controls—as a condition of receiving transmission service under any expansion rate.

9. Community Hosting Standards: Any FERC-approved cost-allocation framework must require the interconnecting customer to demonstrate community benefit—including environmental impact assessment, water-use disclosure, workforce participation, tax-revenue transparency, and good-faith community engagement—as a condition of expedited processing.

10. Public Transparency: The Commission should require annual public reporting of which transmission upgrades have been directly assigned to large-load customers, which have been socialized, and the methodology supporting each classification.

CONCLUSION

FirstEnergy's filing asks the Commission to solve a real problem—data-center-driven transmission cost shifts onto captive ratepayers—by importing a natural-gas-pipeline pricing model that does not account for the physics of a meshed electric network, the benefits that transmission upgrades provide to the broader grid, the reliability obligations that NERC has identified as urgent, or the communities that will host the infrastructure.

The proposal's core concern—cost causation—is sound. Its proposed mechanism—a wholesale gas-industry transplant with secured cost recovery for transmission owners, fifteen-year accelerated depreciation, creditworthy collateral requirements, and no community accountability—is incomplete and self-interested. The gas analogy is useful as a directional signal. It is false as a one-to-one regulatory mapping.

The Commission's discretion in fashioning replacement rates is at its zenith.[28] That discretion should be exercised to develop a tailored electric large-load cost-causation framework that directly assigns clearly customer-specific costs, allocates mixed-benefit upgrades by measurable benefit shares, requires automatic reallocation as others use the facilities, preserves state involvement, pairs rate responsibility with enforceable reliability obligations, and ensures that the communities hosting this infrastructure have a seat at the table before the trucks arrive.

Anything less is not a proven framework. It is a toll booth dressed as a table.

WHEREFORE, Maven Solutions respectfully requests that the Commission condition any expansion-rate or comparable large-load transmission cost-allocation framework on the structural, reliability, cost-allocation, and community-development requirements described herein.

Respectfully submitted,

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Prior Submissions: Submission ID 1755084 (May 20, 2026);

Addendum on Behalf of Communities in the South;

Responsive Comments re: Constellation LCEP (June 6, 2026)

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